GROWTHSPRING INVESTMENT CLUB FINANCIAL POLICY

1. Purpose, Authority, and Scope

1.1 This Financial Policy sets out the Club's detailed financial rules, figures, formulas, and procedures.
1.2 This Policy applies to all members and all Club funds and schemes.
1.3 The Policy is approved and amended by the General Assembly.
1.4 Where this Policy provides detail, it must be applied consistently and fairly. Where it conflicts with the Constitution, the Constitution takes precedence unless the Constitution clearly delegates the matter to policy.

SECTION A: SAVINGS AND LOANS

A1. Member Savings (Minimum and Proof of Payment)

A1.1 Each member shall save a minimum of **UGX 20,000 per month**.
A1.2 Members may contribute at any time and in any amount, as long as the monthly total meets the minimum requirement (or an agreed averaging arrangement approved by the Club).
A1.3 Proof of payment (bank slip, mobile money confirmation, or other approved evidence) must be submitted for record-keeping.

A2. Savings Fund: Withdrawal Rule

A2.1 All member savings contributions go into the **Savings Fund**.
A2.2 **Savings Fund savings cannot be withdrawn unless the member is exiting the Club.**
A2.3 While still a member, any access to value from the Savings Fund shall be **only through loans**, issued under this Policy.
A2.4 **Every loan must be repaid** under the loan terms. Loans are not withdrawals.

A3. Points System

A3.1 Members earn **3 points per UGX 10,000 saved**.
A3.2 There are **no penalties** for failing to save; however, points are earned through saving and support member benefits.
A3.3 Points may be transferred or sold **except the initial 500 points**, which are restricted.
A3.4 Points may be used to support loan interest obligations and loan rules as approved by the

Club.
A3.5 **After month 6**, points may be applied to clear interest, according to loan procedures.

A4. Loans (Purpose and Core Rule)

A4.1 Loans exist to help members meet needs while keeping the Savings Fund protected and growing.
A4.2 **Loans are the only way members can make use of Savings Fund value while still members**, and **loans must be repaid**.

A5. Loan Eligibility, Limits, and New Member Rules

A5.1 Loan eligibility and limits are determined by savings strength, repayment behavior, and risk assessment.

A5.2 Loan Limit Range (Behavior-Based)

A5.2.1 A member's maximum loan limit is **between 1.2× and 1.7×** of their savings, depending on their payment behavior and reliability.
A5.2.2 The Admin Team shall classify members into a borrowing band based on repayment history and discipline, for example:
(a) **1.2×** – for members with weak or inconsistent repayment behavior, or any recent concerns.
(b) **1.3× to 1.5×** – for average to good repayment behavior.
(c) **1.6× to 1.7×** – for excellent repayment behavior over time.
A5.2.3 The Admin Team must apply this classification consistently and transparently.

A5.3 New Members (Protection Rule)

A5.3.1 **New members can only borrow up to the amount of their savings**.
A5.3.2 A new member may borrow above their savings only if:
(a) one or more existing members agree to act as **guarantors** for the amount above the borrower's savings; or
(b) the member has spent sufficient time in the Club for the Admin Team to assess trustworthiness through observed saving behavior and repayment discipline, and the Admin Team approves the higher limit according to policy.
A5.3.3 Where a guarantor arrangement exists, guarantor responsibilities and recovery steps shall be clearly documented and acknowledged.

A6. Loan Interest, Duration, and Terms

A6.1 Loan interest shall be **2% per month** on the remaining balance.
A6.2 Maximum loan duration is **two (2) years**. Smaller loans may be required to be repaid within **one (1) year**, depending on the amount and risk.
A6.3 Guarantors may be required for higher-risk loans, larger loans, or loans above savings (as per A5.3).

A7. Loan Administration and Recovery

A7.1 Finance & Treasury shall track due dates, send reminders early, and follow up until repayment is completed.
A7.2 The Club may implement graduated recovery actions for delinquent loans, provided actions are documented, fair, and approved under Club procedures.
A7.3 Members must cooperate with reasonable recovery processes to protect the Savings Fund for all members.

A8. Profits and Withdrawals

A8.1 Profits shall be distributed **annually**. Members may choose to reinvest or withdraw profits as approved by the Club.
A8.2 Savings withdrawals are processed only during member exit, subject to the exit process and scheme rules.

SECTION B: LAND (LAND SCHEME – SLOT SYSTEM)

Cycle Start: The first land cycle under this Policy begins **January 2026**.

B1. What is a “Slot”?

B1.1 A **slot** is one unit of participation in a land project cycle.
B1.2 Each slot has a target contribution of **UGX 1,800,000**, payable over up to **3 years**.
B1.3 Each fully paid slot earns **one equal share** of the land purchased in that cycle.

B2. Number of Slots

B2.1 At the start of a cycle, the Club sets a planning number of slots (example: 20).
B2.2 If demand is higher, the General Assembly may increase slots so that all interested members can participate.
B2.3 Even if slots are increased, the one-slot fairness rule in B3 remains applicable in the main fundraising period.

B3. One-Slot Priority (Fairness First)

B3.1 During the main fundraising period (for example, the first 2 years), each member may claim only **one (1) slot**.

B3.2 After the priority period, if slots are unused or dropped, the Club may allow extra slots per member, with a maximum per person set by the General Assembly (example: 2–3 total).

B4. Yearly Thresholds and Fines

B4.1 Each year has a minimum threshold contribution per slot.
B4.2 For the 2026 cycle, the threshold schedule is:

- Year 1 (2026): **UGX 600,000**
- Year 2 (2027): **UGX 600,000**
- Year 3 (2028): **UGX 600,000**

B4.3 Fine for missing the threshold:
(a) If a member pays **nothing** for that year: fine = **5% of that year's threshold**.
Example: 5% × 600,000 = **30,000**.

(b) If a member pays something but not the full threshold, the fine is reduced proportionally:
Fine = 5% × Threshold × (Unpaid portion %)
Example: Threshold 600,000; paid 300,000 (50%); unpaid 50%
Fine = 30,000 × 50% = **15,000**.

B5. When Land is Bought (Targets and Decisions)

B5.1 Time target: up to **3 years** of fundraising.
B5.2 Money target: (active slots) × **UGX 1,800,000**.

B5.3 If the money target is reached before 3 years, members decide (by vote) whether to:
(a) buy land immediately; or
(b) continue fundraising until the 3-year period ends to aim for better/bigger land.

B5.4 If the target is not reached after 3 years, the Club may:
(a) extend fundraising for up to **1 additional year**; or
(b) switch to a more affordable land option, provided it remains practically useful.

B6. Ownership at Purchase Time

B6.1 At purchase time, each fully paid slot earns one equal share of land.
B6.2 If a slot is not fully paid at purchase time, the member may:
(a) request a Club loan to complete the balance (subject to Section A rules); or
(b) receive a grace period approved by the Club; or
(c) forfeit the slot and pay fines related to the uncompleted amount, as set before the cycle begins.

B7. Extra Money and Refunds

B7.1 If a member pays more than required, or extra funds remain after land purchase:
(a) the extra may be refunded upon request; or
(b) rolled into the next land cycle as a starting balance.

SECTION C: ADMIN COMPENSATION (DEFERRED, INDEXED MODEL)

C1. Why Compensation is Deferred

C1.1 Admin work is ongoing monthly work essential to Club operations.
C1.2 To protect the Club Fund and maintain sustainability, the Club uses a deferred allowance model.

C2. How the Deferred Allowance System Works

C2.1 Allowances are earned monthly and recorded in an **Admin Allowance Arrears ledger**.
C2.2 Admin arrears are separate from savings and do not share profits like member savings.
C2.3 At year-end, arrears are indexed using the Club's annual return rate (the same rate used for Club performance calculations).
C2.4 Arrears are cleared according to C4.

C3. Monthly Allowance Schedule (2026)

- Chairman: **UGX 35,000** per month
- Finance & Treasury Department: **UGX 80,000** per month
- IT Department: **UGX 25,000** per month + **UGX 1,000,000** one-time payment for completion/delivery of the app
- Media & Public Relations: **UGX 60,000** per month
  Total: **UGX 200,000** per month

C3.1 Allowances are reviewed and amended at the **December General Assembly meeting**.

C4. Clearing Admin Arrears (Fixed Rule)

C4.1 Each year, **20% of that year's Club Fund earnings** is allocated to clearing admin arrears.
C4.2 Any unpaid balance carries forward.
C4.3 Payments follow **FIFO** (oldest arrears paid first).

SECTION D: CLUB FUND (OPERATIONS, WELFARE, STABILITY)

D1. What the Club Fund Is

D1.1 The Club Fund is a dedicated pool used to run operations, support member welfare, and cushion members when risks occur (loan defaults, investment losses).

D2. Club Fund Sources of Income

D2.1 The Club Fund grows through:
(a) a **20% allocation of Club profits**;
(b) re-investment of Club Fund balances (safe/approved investments where allowed);
(c) member fees and approved charges (joining fees, subscription/renewal fees, and approved fines/penalties).

D3. Uses of the Club Fund

D3.1 The Club Fund may finance:
(a) welfare and emergencies;
(b) meetings and training logistics;
(c) administration and operational costs (including systems);
(d) stabilization against shocks;
(e) governance and accountability (audits/reviews and recovery actions).

D4. Club Fund Closure / Dissolution Rule

D4.1 On dissolution, the Club Fund first settles outstanding responsibilities and closure costs.
D4.2 Remaining balances are distributed fairly using a formula based on:
(a) each member’s total contributions/savings; and
(b) length of membership, supported by records and approved dissolution procedures.

SECTION E: POLICY REVIEW AND AMENDMENTS

E1.1 This Policy is reviewed periodically and amended only by approval of the General Assembly.
E1.2 Changes take effect after approval and formal recording.
